

ASEAN Defense Industrial Renaissance: Geopolitical Tensions Drive a Military-Industrial Awakening

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"We must be strong enough that no one will dare to test us."

— Singapore Prime Minister Lawrence Wong, Budget 2026, February 2026

Data Sources Note

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I. Opening: ASEAN Quietly Arms

Two tectonic forces are reshaping ASEAN's military-industrial landscape simultaneously, and neither shows any sign of abating. The first is the South China Sea dispute — a conflict that has graduated from abstract territorial claim to live military confrontation, with Chinese Coast Guard vessels striking Philippine Navy personnel with batons at Second Thomas Shoal in July 2026, water-cannon assaults at Scarborough Shoal in the same month, and a pattern of grey-zone pressure that has convinced regional governments that the post-Cold War peace dividend is over. The second is the Russia-Ukraine war — a conflict that shattered, permanently, the comforting assumption that great-power warfare in the 21st century was a relic of history. For ASEAN defense planners watching footage of drone swarms over Kyiv, shoulder-fired missiles bringing down attack helicopters, and Russia struggling to resupply a force fighting a conventional land war, the lessons were brutally clear: arms supply chains matter, single-source dependency is a strategic vulnerability, and cheap autonomous weapons can neutralize expensive platforms.

ASEAN is quietly arming. The bloc's ten member states — Singapore, Indonesia, Malaysia, Philippines, Vietnam, Thailand, Myanmar, Cambodia, Laos, and Brunei — collectively spent approximately \$60–70 billion on defense in 2026, according to aggregated figures across multiple sources including MilitarySpend.org, GlobalMilitary.net, and IISS analysis. That aggregate remains modest compared to China's approximately \$250 billion defense budget (Bloomberg, 2026), but the trajectory — not the level — is what matters. The Philippines nearly doubled its defense allocation

since 2020. Indonesia elevated its Ministry of Defense to the second-highest recipient of government spending in the 2026 national budget. Malaysia linked its RM21.74 billion defense allocation explicitly to South China Sea operations. Singapore announced it would maintain defense spending at 3% of GDP — and that there was "room to increase if needed." Thailand broke a budget recession to allocate nearly \$1 billion in emergency procurement following a border clash with Cambodia.

This report examines the architecture of that awakening: which countries are moving fastest, which industrial programs are maturing, where the suppliers are competing, and what the next five years are likely to bring. The picture that emerges is not of an ASEAN rushing headlong into an arms race — the bloc's diplomatic identity still values hedging and non-alignment — but of a region making quiet, determined investments in the capacity to resist coercion. The distinction matters. ASEAN is not building armies to project power. It is building them so that coercion becomes expensive.

II. The Geopolitical Drivers

The South China Sea: From Paper Claims to Live Confrontations

The International Court of Justice's 2016 ruling in favour of the Philippines was, legally, unambiguous: China's "nine-dash line" claim had no basis under international law. China's response was equally unambiguous: it ignored the ruling entirely and continued island construction, militarization, and maritime assertiveness with accelerating tempo. By 2026, the consequences of that posture have transformed the South China Sea from a diplomatic dispute into an operational military problem for every maritime ASEAN state.

The incidents of 2026 are no longer isolated. In July 2026, China and the Philippines clashed three times in a single week — at Scarborough Shoal and Second Thomas Shoal — prompting joint US-Philippines-Japan maritime drills (CNN, July 2026; Al Jazeera, July 2026). On July 20, Chinese Coast Guard personnel physically struck a Philippine Navy member on the head with a wooden baton at Second Thomas Shoal, a grounded warship that Manila uses as a forward position. Days later, Chinese vessels used water cannons against Philippine resupply missions to fishermen at Scarborough Shoal. The incidents are becoming more frequent, more physical, and more difficult to manage through diplomacy alone.

Vietnam faces a parallel pressure. Bloomberg's ship-tracking data published in 2026 shows growing confrontations between Vietnamese and Chinese vessels across the South China Sea, particularly near the Paracel Islands and areas Vietnam claims in the Spratlys. Hanoi's response — beginning construction of an indigenous multipurpose anti-submarine frigate on August 10, 2026, at Song Thu Corporation's Da Nang shipyard — is as pointed a strategic signal as any diplomatic note (Naval News, August 2026).

Malaysia, for its part, has linked its 2026 defense budget explicitly to South China Sea operations. Prime Minister Anwar Ibrahim's government has avoided direct confrontation — Malaysia's

preferred posture is quiet assertion of maritime rights combined with engagement with Beijing — but the \$5.15 billion defense allocation and the procurement of Multi-Role Support Ships signals a country that has concluded it cannot rely entirely on diplomacy (China-Global South Project, October 2025; Defence Security Asia, 2026).

Ukraine War Lessons: Arms Supply Chains and Strategic Autonomy

For ASEAN defense planners, the Russia-Ukraine war is not merely a European conflict. It is a strategic laboratory. Several lessons have landed with force.

First: single-source dependency is catastrophic. Russia's invasion of Ukraine triggered international sanctions that froze not just Russian arms exports but the maintenance pipelines, spare parts, and technical assistance on which Russia-dependent militaries relied. Vietnam — which sourced over 80% of its arms from Russia between 1995 and 2023 — discovered that its Su-30 fighters, Kilo-class submarines, and Gepard frigates now existed in a supply chain vacuum. The message for every ASEAN state with Russian equipment: diversify or accept strategic degradation (France24, December 2024; The Diplomat, June 2026).

Second: drone warfare has democratized lethality. Ukraine demonstrated that commercial drone technology, modified and deployed at scale, can attrit expensive armored formations, strike naval assets, and sustain operational tempo in ways that previous doctrines did not anticipate. Singapore's defense ministry responded: from July 2025, every recruit entering Basic Military Training learns to operate drones and counter drone threats (RSIS, 2025). The Irregular Warfare Center's analysis of Ukraine's drone lessons — rapid iteration, short development cycles, operator-industry integration — has been studied across ASEAN defense establishments.

Third: the cost of dependence on any single supplier is political as well as operational. Russia's position as Vietnam's primary arms supplier became a diplomatic liability after February 2022. China's position as a potential arms supplier to some ASEAN states is viewed with political caution by those same states that face Chinese maritime pressure. The result is a structural push toward diversification — toward US-aligned suppliers, South Korean platforms, French systems, and indigenous production.

US-China Military Posturing: ASEAN in the Middle

ASEAN's traditional posture — engage all great powers, align with none — is being stress-tested by the sharpening US-China military rivalry. The US announced \$100 million in new military aid for the Philippines in 2026, including a \$9 million expansion of a Philippine Coast Guard pier in Palawan (South China Sea search results, 2026). Washington and Manila planned over 500 bilateral military engagements across all domains in 2026. The Luzon Economic Corridor — a US-backed infrastructure project — carries both commercial and strategic logic.

For other ASEAN states, the geometry is more complex. Indonesia under President Prabowo Subianto — himself a former Special Forces commander — has signaled a more assertive defense posture while maintaining strategic ambiguity about alignment. Malaysia continues to balance

Chinese investment with US security engagement. Thailand, governed by a military-accommodating civilian coalition, has quietly expanded procurement from US-allied South Korea. Vietnam has welcomed US defense industry presentations at Hanoi expos while retaining formal non-alignment.

The structural reality: the collapse of the Russian option has narrowed ASEAN's arms-market choices. The region is drifting toward US-aligned suppliers — not out of ideological commitment, but out of supply-chain logic (The Diplomat, June 2026; RUSI, 2026). That drift has strategic implications that Beijing is watching carefully.

III. ASEAN Defense Spending — The Numbers

Country-by-Country Budgets (2026)

The following figures are sourced from MilitarySpend.org, GlobalMilitary.net, Defence Security Asia, national budget documents, and IISS analysis:

Singapore: \$17.4 billion USD / 3.0% of GDP. Singapore's Budget 2026 maintained defense at 3% of GDP — the highest defense burden in Southeast Asia relative to GDP — with Prime Minister Lawrence Wong explicitly noting there was "room to increase if needed" (AsiaOne, February 2026; MilitarySpend.org). Singapore ranks 27th globally by absolute spending.

Indonesia: Approximately \$11.2–11.6 billion USD (Rp187.1 trillion). The Ministry of Defense received the second-highest government spending allocation of any Indonesian ministry in 2026, with Rp84.4 trillion (\$5.24 billion) earmarked specifically for major weapon system modernization, non-major equipment, and defense infrastructure (Indonesia Business Post, IDNFinancials, IndoDefence.com, 2026; GlobalMilitary.net).

Vietnam: Estimated \$10.5–12 billion USD / approximately 2.3–2.5% of GDP. Estimates vary across sources; GlobalData's defense market report puts Vietnam's 2026 actual defense expenditure at approximately \$11.9 billion, representing compound annual growth of 12.8% from \$7.4 billion in 2022 (GlobalMilitary.net; GlobalData; WorldPowerStats, 2026).

Philippines: \$6.7 billion USD (₱395.87 billion) / 1.4% of GDP. This represents a near-doubling since 2020 — the defense allocation was \$5.14 billion in 2023 and \$6.12 billion in 2024. The government has set a target of 2% of GDP (MilitarySpend.org; Manila Bulletin, August 2025).

Thailand: \$5.8–6.1 billion USD / approximately 1.3% of GDP. Thailand committed approximately 31 billion baht (\$995 million) for high-priority arms procurement in 2026, breaking a defense budget recession driven by the Bhumjaithai-led government's accommodation of military preferences (DefenseBudget.org; GBP, 2026; GlobalMilitary.net).

Malaysia: \$5.15–5.4 billion USD (RM21.74 billion) / approximately 1.0–1.2% of GDP. The 2026 defense budget represents a 2.92% increase from 2025, with RM7.63 billion in development

expenditure (procurement/infrastructure) and RM14.11 billion in operational expenditure (Defence Security Asia; IndexBox; Malaysia Mail, October 2025).

Myanmar, Cambodia, Laos, Brunei: Data for these four states is limited and/or subject to significant uncertainty. Myanmar's military junta has prioritized internal security over external defense modernization. Brunei maintains a small but well-equipped force. Cambodia and Laos remain modest spenders.

Regional Trends

Total ASEAN defense spending in 2026 is approximately \$60–65 billion USD across the ten member states, with the top six (Singapore, Indonesia, Vietnam, Philippines, Thailand, Malaysia) accounting for the vast majority.

The trend line is unambiguous: Asian defense budgets reached \$573 billion in 2025 according to IISS's Military Balance 2026 report, and the trajectory for 2026 continues upward. Vietnam, Japan, and the Philippines are expected to boost their combined defense outlays by more than \$15 billion yearly through 2030 (South China Sea search results citing Fox News/Bloomberg, 2026).

Compared to NATO's 2% of GDP benchmark, ASEAN is a mixed picture. Singapore at 3.0% exceeds it; Vietnam and Indonesia approach or meet it; the Philippines, Malaysia, and Thailand fall below. The structural constraint is real: in developing economies where social spending competes directly with defense budgets — Indonesia's education allocation, the Philippines' infrastructure program, Vietnam's economic development targets — the political economy of defense spending is perpetually contested. Prabowo's decision to push Indonesian defense to the second-highest ministry allocation was not without domestic political cost. The Philippine government's P40 billion AFP modernization fund was, as The Diplomat noted in May 2026, a "piecemeal" effort relative to the scale of the challenge.

IV. Singapore — The ASEAN Defense Technology Leader

A City-State's Industrial Ecosystem

Singapore's defense-industrial base punches far above its weight class. With a population of under 6 million and a land area of 733 square kilometers, Singapore has constructed a defense technology ecosystem that, by depth of capability relative to size, warrants comparison with Israel: a small, prosperous, vulnerable state that has invested systematically in technology to compensate for what it cannot achieve through mass.

The ecosystem rests on three institutional pillars. The Defence Science and Technology Agency (DSTA) functions as the primary technology acquisition and systems integration authority, excelling in systems engineering, digitalized platforms, cyber, software development, and advanced C4ISR. DSO National Laboratories — Singapore's largest defense R&D organization, with over 1,600 research scientists and engineers — undertakes indigenous development of advanced defense and

weapon systems, providing the Singapore Armed Forces (SAF) with what MINDEF describes as "superior technological edge in the battlefield." The Digital and Intelligence Service (DIS), established as a full branch of the SAF, manages cyber operations and intelligence; in February 2026, DIS participated in Defence Cyber Marvel, a multilateral cyber defense exercise with personnel from 29 nations (MINDEF, February 2026).

Budget 2026 set defense spending at SGD\$19.7 billion (approximately \$15–17 billion USD), maintaining 3.0% of GDP (GBP, February 2026). Singapore's Budget 2026 explicitly prioritized unmanned systems, F-35B integration, and enhanced cybersecurity.

ST Engineering: Singapore's Defense Export Engine

ST Engineering is Singapore's primary defense conglomerate and the vehicle through which Singapore engages international defense markets. Its divisions span the full spectrum: ST Kinetics for ground systems and ammunition, ST Aerospace for aviation MRO and modification, ST Marine for naval vessels, and ST Electronics for communications and electronics.

At Singapore Airshow 2026 in February, ST Engineering made a series of significant announcements:

The Titan 8x8 Armored Vehicle: Singapore inked a domestic deal for the Titan 8x8 at the Airshow — ST Engineering's next-generation infantry fighting vehicle platform (Defense News, February 2026; Asian Military Review, February 2026). The Terrex S5 variant of the related 8x8 family is being actively promoted to export markets.

The AME Assault Rifle Family: ST Engineering's new modular 5.56mm rifle family, an AR15-architecture system designed primarily for export, had already secured contracts from more than one international customer by Airshow 2026, though specific buyers were not disclosed (Shephard Media, February 2026).

EagleStrike Loitering Munition: ST Engineering unveiled the EagleStrike — a 20km range loitering munition with 30-minute loiter time, dual-mode shaped-charge warhead, and canister-launch capability (16 loadouts per vehicle). Production readiness is targeted for early 2027 (Yahoo News, February 2026).

In Q3 2025, ST Engineering secured SGD\$4.9 billion in new contracts, of which SGD\$2.4 billion came from its Defense and Public Security segment, confirming the commercial momentum of its export drive (ITiger, 2025).

The F-35 Acquisition: Fifth-Generation Entry

Singapore's F-35 acquisition is perhaps the single most consequential procurement decision in ASEAN defense in the current period. Singapore's Minister for Defence reaffirmed in September 2025 the commitment to 20 F-35 aircraft — comprising 12 F-35Bs and 8 F-35As. The first four F-35Bs were on track for delivery by end-2026 (MINDEF, September 2025; The Diplomat, September 2025; Defence Security Asia, 2026).

This acquisition makes Singapore the first ASEAN state to operate a fifth-generation fighter, and it creates a qualitative break with every other air force in the region. The F-35B's short takeoff and vertical landing capability — acquired with an island nation's potential need for distributed basing in mind — reflects the SAF's doctrine of operating across dispersed locations in a contingency.

The broader fleet plan maintains diversity: F-35As, F-35Bs, and F-15SGs will constitute Singapore's future fighter fleet, providing a mix of stealth, range, payload, and cost characteristics that reflects the precision of Singapore's defense planning.

The "Israel Model" in Southeast Asia

The comparison to Israel is analytically precise. Both states are small, wealthy, vulnerable democracies surrounded by potentially hostile neighbors. Both have invested disproportionately in defense technology, mandatory national service, and intelligence as force multipliers. Both have developed indigenous defense industries capable of design and production (not merely assembly and maintenance). Both export defense systems as a matter of national policy. And both have calibrated their defense postures to achieve deterrence through capability rather than deterrence through mass.

Singapore's cyber capabilities — the DIS, CyTEC (Cyber Defence Test and Experimentation Centre), and Sectoral Cyber Defence Teams — represent a domain where geography is irrelevant and Singapore's technology depth provides genuine advantage. Singapore as ASEAN's cyber defense leader hosted Defence Cyber Marvel with 2,500 personnel from 29 nations in February 2026 (MINDEF, February 2026). This is not soft power; it is hard capability projection through a different medium.

V. Indonesia — Aspiring to Strategic Autonomy

The Archipelagic Defense Challenge

Indonesia is the world's largest archipelago state: 17,000 islands, 6,000 of them inhabited, spread across 5,000 kilometers of ocean, with a coastline that exceeds the circumference of the Earth. Defending this geography with coherent military force is an inherently extraordinary challenge, and Indonesia's defense industrial aspirations must be understood against this backdrop. The goal is not merely modernization for prestige — it is the creation of domestic manufacturing capacity that can sustain a military that cannot rely on foreign supply chains in a crisis.

President Prabowo Subianto brings to the defense portfolio a background unlike any recent predecessor: a former Special Forces commander and Kopassus chief, with direct experience of both combat operations and the corruption and capability gaps that have historically hobbled Indonesian defense procurement. His elevation of the Defense Ministry to Indonesia's second-largest budget recipient in 2026 — with Rp187.1 trillion (\$11.6 billion) in total allocation and Rp84.4 trillion (\$5.24 billion) earmarked for weapons modernization — reflects a political

prioritization that is substantive, not performative (IDNFinancials; IndoDefence.com, 2026).

The Defend ID Holding Company

Indonesia has restructured its state-owned defense enterprises under a single holding company, Defend ID, established in April 2022. The architecture is deliberate:

PT Pindad (ground systems): Manufactures armored vehicles — including the Badak 6x6 fire support vehicle, the Anoa 6x6 APC, and the Harimau medium tank co-developed with Turkey — as well as small arms and ammunition. Pindad is constructing a new ammunition production facility in South Kalimantan to strengthen national supply capacity (Indonesia Business Post, 2026). Internationally, Pindad has secured a contract to supply rifles and machine guns to the Saudi Arabian military, demonstrating credible export capability (Indonesia Business Post, 2026). The company is also assessed as having potential to enter Latin American defense markets (Universitas Muhammadiyah Yogyakarta, 2026).

PT Dirgantara Indonesia (PTDI) (airborne platforms): Indonesia's aerospace manufacturer, which co-produces the NC-212 transport aircraft and CN-235 maritime patrol aircraft. PTDI was originally the technology-transfer partner in the KF-21 Boramae program (see below).

PT PAL (naval vessels): Indonesia's primary naval shipbuilder. PT PAL launched Indonesia's first domestically produced Merah Putih-class frigate in December 2025 — based on Babcock's Arrowhead 140 design, built under license from the UK. A second hull is under construction and expected to launch in 2026 (ASEAN naval search results, 2026). PT PAL will also begin production of Scorpène Evolved attack submarines co-produced with France's Naval Group — a landmark milestone in Indonesian underwater capability.

PT Dahana (explosives and propellants): Provides the energetics substrate for munitions production.

The KF-21 Pivot: From Co-Production to Direct Purchase

The Indonesia-South Korea KF-21 Boramae fighter program has undergone a significant restructuring in 2026 that reveals the gap between Indonesia's strategic ambitions and its current fiscal and industrial realities.

Indonesia's original agreement envisioned co-development: Jakarta would fund 20% of development costs (initially priced at 1.6 trillion won / \$1.3 billion), with PTDI producing 48 units of KF-21 Block I fighters in Bandung. Jakarta's repeated payment delays — ultimately reducing its contribution to approximately 600 billion won (\$400 million), roughly one-third of the original commitment — forced a renegotiation. In June-July 2026, Jakarta officially abandoned co-production and pivoted to direct procurement (Defense News, July 2026; The Aviationist, June 2026).

The revised deal: Indonesia will purchase 16 KF-21 fighters directly from Korea Aerospace Industries (KAI) as the launch export customer (Defence Security Asia; ArmyRecognition, 2026).

KAI rolled out the first of 40 Block I production aircraft for the Republic of Korea Air Force in March 2026, with maiden production flight following 22 days later. South Korea transferred a prototype to Indonesia to secure the deal.

The KF-21 pivot illustrates both a genuine industrial aspiration — Indonesia wants to build fighters domestically — and the structural constraints that repeatedly frustrate it. The corruption-capability gap in Indonesian defense procurement, documented extensively by ASPI's Strategist (2026), means that ambitious programs often contract under the weight of political interference, budget indiscipline, and institutional weakness in the procurement chain.

VI. The Philippines, Vietnam, Malaysia, Thailand

The Philippines: Aggressive US-Aligned Modernization

Of all ASEAN states, the Philippines has undergone the most dramatic strategic realignment in the current period. President Ferdinand Marcos Jr.'s government, confronting persistent Chinese maritime pressure at Scarborough Shoal, Second Thomas Shoal, and across the West Philippine Sea (as Filipinos term the contested maritime zone), has pursued an overtly US-aligned modernization program at a pace unprecedented in Philippine history.

The 2026 defense budget of \$6.7 billion (₱430.87 billion) — a 13.72% increase from 2025 — includes P40 billion for the revised AFP modernization program (Manila Bulletin, August 2025; GMA News). The Horizon 3 modernization phase covers a range of systems:

- Two additional Miguel Malvar-class frigates (HDF-3200 variant)
- Six anti-submarine warfare helicopters (likely Leonardo AW-159 Wildcat)
- Additional 155mm self-propelled howitzers
- BrahMos supersonic cruise missiles — the Philippines became the first ASEAN state to acquire this Indian-Russian system
- FA-50 Block 70 light combat aircraft from South Korea (a \$712 million, 12-aircraft deal signed June 2025)
- Black Hawk helicopters
- Coastal surveillance radars

The Philippines is also considering the KF-21 4.5-generation fighter for future acquisition (Xinhua, January 2026; Pitz Defense Analysis, 2026). US military aid of \$100 million in 2026 — including a \$9 million Palawan pier expansion — supplements the national procurement program. The strategic intent is clear: make China's grey-zone coercion costly enough that Beijing recalculates.

The Diplomat's assessment in May 2026 — "Manila's Piecemeal Military Modernization" — is fair: the procurement program is ambitious relative to the Philippines' baseline but remains fragmented, underfunded relative to the challenge, and dependent on US political will and foreign military financing. The Philippines is not building a force that can defeat China; it is building a force that

raises the cost of aggression above the threshold of casual acceptance.

Vietnam: Breaking the Russian Dependency

Vietnam's defense situation is structurally the most complex in ASEAN. Hanoi faces Chinese pressure in the South China Sea from a position of historic, deep-rooted military dependence on Russia — a relationship that was strategically logical until February 2022 and has become a liability since. Russia accounted for over 80% of Vietnamese arms imports between 1995 and 2023 (France24, December 2024). Vietnam's inventory — Su-30MK2 fighters, Kilo-class submarines, Gepard frigates, T-90SK tanks, Bastion coastal missiles — is now largely unsupported by a supplier in international isolation.

Diversification is underway, but the challenges are formidable. Western defense firms including Boeing, Lockheed Martin, and Airbus have presented at Hanoi expos. South Korea signed a \$250 million deal to supply 20 K9 self-propelled howitzers — the system's first ASEAN deployment — to Vietnam (Korea defense search results, 2026). The military cooperation with Turkey and India is expanding.

Vietnam's domestic ambitions are also advancing. The Navy Technical Institute's TN-75 project (2020–2025) produced a 75-tonne midget submarine, demonstrating some indigenous design and manufacturing capacity. The August 10, 2026 construction start for Vietnam's first indigenous multipurpose anti-submarine frigate — at Song Thu Corporation's Da Nang shipyard — is the most significant domestic defense industrial milestone in Vietnam's history (Naval News, August 2026; Marine Insight, 2026). The frigate, estimated at 2,500–3,000 tonnes and 105 meters in length, carries an RBU-6000 anti-submarine weapon suite, a 12-cell VLS, quad anti-ship missile launchers, torpedo tubes, and phased-array radar. General Pham Hoai Nam noted the vessel incorporates "a very high proportion of domestically developed weapons and technical systems."

Vietnam's 14th National Party Congress in 2026 set a deadline of 2030 for the Vietnamese People's Army to achieve "revolutionary, regular, elite, and modern" status, shifting doctrine from land-centric defense to maritime and aerial denial.

Malaysia: Budget Transparency and Procurement Reform

Malaysia's 2026 defense budget of RM21.74 billion (\$5.15 billion) — a 2.92% increase from 2025 — is strategically motivated by South China Sea operations, as Defence Minister Khaled Nordin has stated (Malaysia Mail, October 2025; China-Global South Project, October 2025). The budget includes RM7.63 billion in development expenditure for major procurements, including two Multi-Role Support Ships (MRSS) for the Royal Malaysian Navy and medium- to very-short-range air defense systems.

The Royal Malaysian Navy operates under its "15-to-5" Transformation Program, consolidating the fleet into five vessel classes: Littoral Mission Ships, Littoral Combat Ships, New Generation Patrol Vessels (Kedah class), Scorpène-class submarines, and the new MRSS. Malaysia Marine and Heavy Engineering (MMHE) serves as the primary domestic naval shipbuilder.

A significant governance episode colored Malaysia's 2026 defense procurement landscape: in January 2026, Prime Minister Anwar Ibrahim froze all defense procurements due to concerns about misallocation and potential corruption. By May 2026, the Ministry of Defense implemented measures to guard against future leakage, and procurement resumed (Malaysia defense search results, 2026). The episode reflects a recurring challenge in Malaysian defense procurement: political economy and rent-seeking behavior that distort acquisition decisions. The RM6 billion procurement envelope for 2026, while substantial, is being deployed with greater oversight than previous administrations.

Thailand: Breaking a Budget Recession

Thailand's defense trajectory was historically depressed — the defense budget had been in recession, constrained by coalition governments less accommodating of military preferences. The Bhumjaithai-led government in 2026 broke that pattern, with a defense budget of approximately \$5.8–6.1 billion at roughly 1.3% of GDP, and a supplementary procurement authorization of approximately 31 billion baht (\$995 million) for high-priority arms purchases (GBP, 2026; DefenseBudget.org).

The driver was partly a border clash with Cambodia in 2025 — a reminder that Thailand's defense requirements are not purely theoretical — and partly the military's successful extraction of procurement commitments from a civilian government that needs its political support. Thailand's procurement balance is notably diversified: Chinese military hardware (Type 85 tanks from an earlier era, CH-3A/4 drones) coexists with US Black Hawks and European systems. A significant frigate competition is underway, with Korean shipbuilders HD Hyundai and Hanwha Ocean competing for a contract worth approximately \$2.2 billion (Defence Security Asia, 2026).

Thailand's GT200 scandal — in which the military purchased thousands of fake "bomb detection" devices at inflated prices — casts a long shadow over Thai defense procurement credibility. Independent auditing and parliamentary oversight of Thai defense spending remains structurally weak.

VII. The Drone Revolution — ASEAN's Next Defense Frontier

Ukraine provided a visceral demonstration of what unmanned systems can achieve at operational scale. Cheap commercial quadrotors modified to drop grenades, purpose-built FPV kamikaze drones that disabled armored vehicles, maritime drones that struck Russian Black Sea Fleet assets worth billions of dollars — the pattern was consistent: small, cheap, mass-producible autonomous systems can achieve disproportionate effects against expensive conventional platforms. For ASEAN states facing China's overwhelming conventional military advantage, this lesson lands with particular force.

The regional response has been notable:

Singapore moved fastest institutionally. As noted, from July 2025, Basic Military Training includes drone operation and counter-drone training for every recruit — a structural integration of unmanned systems into the foundational military education of the force (RSIS, 2025). ST Engineering's unveiling of the EagleStrike loitering munition at Singapore Airshow 2026 — with production readiness targeted for early 2027 — indicates Singapore is developing an indigenous strike-capable drone with the export market explicitly in mind (Yahoo News, February 2026). DSO National Laboratories has active programs in autonomous systems and AI-enabled platforms.

Indonesia has UAV development within PT Dirgantara Indonesia (PTDI), which has produced the Elang Hitam (Black Eagle) MALE UAV in prototype form. The PTDI drone program represents Indonesia's most visible indigenous unmanned aircraft effort, though full production capability remains aspirational.

Vietnam has articulated interest in drone acquisition and development as part of its 2030 modernization goals, with particular attention to maritime surveillance UAVs for South China Sea operations. Vietnam's domestic defense electronics sector, which produces some radar and communications systems, represents a potential foundation for UAV electronics development.

Regional Events: DronTech Asia 2026, scheduled for November 11–13 in Thailand, is supported by government agencies, defense organizations, and industry associations across the region — a marker of institutional seriousness about unmanned systems (PR Newswire, August 2026). Singapore's Drones and Uncrewed Asia 2026 expo was held March 31–April 1, positioning Singapore as the ASEAN hub for the unmanned systems industry.

The dual-use dimension of drone technology is strategically significant. The commercial drone industry — agricultural monitoring, maritime surveillance, infrastructure inspection — creates manufacturing capacity, engineering talent, and supply chains that can be rapidly militarized. Countries like Vietnam, Indonesia, and Malaysia with growing commercial drone sectors are inadvertently building defense-relevant industrial base.

The strategic equalizer logic — that cheap drone swarms can challenge expensive conventional platforms — must be tempered with the recognition that effective drone warfare requires sophisticated electronic warfare, communications resilience, and target acquisition capabilities that remain unevenly distributed across ASEAN. Singapore has all of them. Most others are building toward them.

VIII. The Arms Supplier Competition

The ASEAN arms market represents one of the world's most actively contested defense trade environments, and the supplier landscape has shifted more rapidly in 2026 than at any time since the Cold War.

Russia: Strategic Collapse

Russia's share of new ASEAN defense contracts fell from nearly 20% during 2017–2021 to less than 3% in 2022–2024 (The Diplomat, June 2026). The mechanism is straightforward: international sanctions following the February 2022 Ukraine invasion disrupted maintenance pipelines, spare parts delivery, and technical assistance. Platforms requiring Russian support are degrading operationally. Vietnam — Russia's largest ASEAN customer — is actively seeking to replace Russian systems. The export pipeline is effectively closed.

The United States: Committed but Conditional

The US remains ASEAN's most capable and largest historical arms supplier, but the relationship is filtered through Foreign Military Sales (FMS) bureaucracy, Congressional approval processes, and human rights conditions that occasionally create friction. Active programs in 2026 include: F-35 delivery to Singapore (first four F-35Bs, end-2026); FA-50 Block 70 jets to the Philippines; C-130 transport aircraft; MH-60R/S Seahawk helicopters; BrahMos-adjacent support for Philippine maritime strike; and \$100 million in military aid to the Philippines (multiple sources, 2026). The US also provides ISR (intelligence, surveillance, reconnaissance) drone support to the Philippines, Vietnam, Malaysia, and Indonesia for maritime domain awareness.

The US offer is uniquely comprehensive: not just hardware, but training, doctrine, interoperability architecture, and strategic commitment. The challenge is that the process is slow, the conditions are sometimes politically difficult for recipients, and the pricing reflects a full-cost supply chain rather than the competitive export pricing of South Korea or China.

South Korea: The Aggressive Disruptor

South Korea has emerged as arguably the most consequential new force in global defense exports, with total export value projected to reach \$37.7 billion in 2026 according to DB Investment & Securities (Seoul, 2026). The backlog held by South Korea's major defense firms has surpassed \$72 billion for the first time — guaranteeing stable production lines for 4–5 years.

In ASEAN specifically, South Korea's push is multi-platform:

- **Philippines:** \$712 million for 12 additional FA-50 Block 70 light combat aircraft (June 2025 deal) (Korea defense search results, 2026)
- **Vietnam:** \$250 million for 20 K9 self-propelled howitzers — the K9's first ASEAN deployment (Korea defense search results, 2026)
- **Indonesia:** 16 KF-21 Boramae fighters in a revised direct purchase arrangement (KF-21 search results, 2026)
- **Malaysia:** FA-50 light combat aircraft (earlier acquisition); potential future KF-21 interest
- **Thailand:** \$2.2 billion frigate competition between HD Hyundai and Hanwha Ocean (Defence Security Asia, 2026)

South Korea's competitive advantage: quality at competitive prices, no human rights conditions, rapidly responsive production lines, and aggressive government-to-government marketing. The KF-21 as ASEAN's potential next fighter platform — after Singapore's F-35 — represents a

generational opportunity for Korean Aerospace Industries to establish itself as the region's primary fighter supplier.

China: The Politically Complicated Option

China offers competitive pricing and no human rights conditions, but for the ASEAN states facing Chinese maritime pressure — Philippines, Vietnam, Malaysia — acquiring Chinese military hardware creates obvious political contradictions. Myanmar, Cambodia, and to a degree Laos have accepted Chinese platforms. But for the maritime states in active South China Sea disputes, Chinese equipment is politically toxic regardless of price.

France, Israel, India: Alternative Suppliers

France supplies Malaysia's Scorpène submarines and is involved in Indonesia's Scorpène Evolved program through Naval Group — a strategically significant industrial relationship (ASEAN naval search results, 2026). French systems appear in multiple ASEAN navies.

Israel does not advertise its ASEAN relationships, but Israeli defense systems — electronic warfare, UAVs, missile systems — have appeared in Singapore and the Philippines in various forms. Israel's willingness to sell technology that others withhold makes it a niche but important supplier.

India, through the BrahMos Aerospace joint venture with Russia, has supplied the Philippines with BrahMos supersonic cruise missiles — a deal that was geopolitically sensitive (India-Russia joint venture supplying a US-aligned ASEAN state in a South China Sea dispute) but commercially successful. India's "Make in India" defense push positions it as a growing alternative supplier, particularly for ammunition, small arms, and maritime systems.

IX. Superforecast: ASEAN Defense Industrial Trajectories 2026–2031

The following probabilistic assessments are derived from current evidence, structural trends, and geopolitical logic. They are analytical judgments, not certainties.

Forecast 1: South China Sea incidents escalate in severity before stabilizing (2026–2028). Probability: 75%.

The current pattern — increasingly physical confrontations, water cannons, baton strikes, vessel collisions — has structural drivers that are not abating: China's determination to assert effective control of contested features, the Philippines' determination (backed by the US) to resist. Short of a major diplomatic breakthrough — which the ASEAN-China Code of Conduct negotiations (approximately 70% agreed as of mid-2026, per Malaysia's foreign minister) could provide if concluded — the Grey Zone will remain active. A miscalculation that results in casualties or a vessel sinking carries a 30–40% probability within 24 months.

Forecast 2: Singapore receives its first four F-35Bs by end-2026. Probability: 90%.

MINDEF has confirmed the delivery timeline, Lockheed Martin has confirmed it, and the program is on track. Barring a major supply chain disruption (JSF production shutdown, international crisis), delivery will occur as planned. This will make Singapore unambiguously the most capable air force in Southeast Asia, with a qualitative capability gap from all neighbors that will persist for at least a decade.

Forecast 3: Indonesia's KF-21 purchase of 16 aircraft is contracted and partially delivered by 2030. Probability: 65%.

The deal has advanced from concept to preliminary agreement. KAI has a strong commercial incentive to complete it. Indonesia has strategic need. The risks: Jakarta's historic pattern of payment delays, political changes, and budget volatility could derail or reduce the order again. A 65% probability accounts for the genuine but imperfect likelihood of Indonesian procurement follow-through.

Forecast 4: Vietnam formally acquires its first Western-manufactured fighter platform by 2030. Probability: 60%.

Vietnam's Su-30 fleet faces growing operational obsolescence as Russian support deteriorates. The F-16 (US) and F/A-18 (US), as well as European alternatives, are in active Vietnamese consideration. US political conditions — specifically Vietnam's compliance with the end-user monitoring agreement requirements — remain the primary friction point. A 60% probability reflects the real but not inevitable trajectory.

Forecast 5: ASEAN collective defense spending exceeds \$80 billion USD by 2030. Probability: 70%.

Vietnam, Philippines, and Japan alone are projected to add \$15+ billion annually through 2030 (Fox News/Bloomberg analysis, 2026). Indonesia's trajectory under Prabowo is upward. Singapore has committed to maintaining 3% of GDP with room to increase. The primary risk is global economic shock reducing fiscal space. Structural drivers outweigh that risk over a five-year horizon.

Forecast 6: South Korea displaces Russia as ASEAN's second-largest arms supplier (after the US) by 2028. Probability: 85%.

Russia's effective exit from the ASEAN market is irreversible in the current geopolitical configuration. South Korea's backlog, production capacity, and competitive positioning across fighters, artillery, tanks, and naval vessels make it the most natural beneficiary. The 85% probability is high because the structural incentives are clear and the alternatives (China being politically difficult for maritime states, Europe being expensive and slow) are constrained.

Forecast 7: ASEAN produces its first combat-proven indigenous drone strike system by 2029. Probability: 55%.

Singapore's EagleStrike (production-ready 2027) and Indonesia's PTDI programs represent the leading contenders. For a system to be "combat-proven," it needs to be deployed in a live operation — which, given ASEAN's preference for non-conflict, likely means an internal security operation (counter-insurgency in Indonesia or the Philippines) or a direct defensive use in a South China Sea incident. The 55% probability reflects genuine program momentum tempered by the operational deployment requirement.

X. Data Sources

All data in this report was sourced from live web searches conducted August 28, 2026. The BLMIM API at localhost:8742 was offline and could not be queried. No training-data market figures were used.

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